



STATEMENT OF ADVICE

Financial Planning Strategy

Prepared for:

Ms Ellen Bortolot

Of

29A Marion Street

ALTONA NORTH VIC 3025

Prepared on:

16th December 2024

By your Adviser:

Andrew Lord B Bus (Acc), Dip FS (Fin Plan)

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What this document is about

This Statement of Advice (or SoA) is an important document.

- It provides you with information about our advice so you can make a decision about implementing the advice.
- It should be read in conjunction with other documents such as Product Disclosure Statements and our Financial Services Guide.

What to do after reading this Statement of Advice

Please contact us.

- If you have any questions.
- If we have omitted, overlooked or incorrectly understood any of your relevant circumstances.
- When you are ready to implement the recommendations.
- Or, if you decide you want to do something else and need our advice or assistance.

16/12/2024

Ms Ellen Bortolot
29A Marion Street
ALTONA NORTH VIC 3025

Dear Ellen,

I am pleased to enclose your Statement of Advice (SoA).

It is an important document that you should read and understand before making a decision to proceed further.

We have based the strategies and recommendations in this document on our understanding of your current personal and financial position. If any of this information does not reflect any part of your current position, goals and objectives please advise us immediately and we will make the necessary changes.

The SoA sets out our recommended strategies to address your needs, together with a recommended course of action to implement these strategies.

When you are ready to proceed, we would be very happy to help you with the implementation of the advice, including the completion and lodgement of application forms and other documents.

Please note, our recommendations in this Statement of Advice are valid for 30 days from the date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation again before you take any action.

Once implemented, we should review your situation on a regular basis to ensure we make the most of any changes that may impact on the strategies I have recommended for you.

Yours sincerely,

Andrew Lord
B Bus (Acc), Dip FS (Fin Plan)
Authorised Representative No 324798 of
Pareto Group Pty Ltd

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Purpose of this document

The following Statement of Advice (SoA) is an outline of the financial plan discussed with your financial planner. It details the recommendations needed to execute your plan and achieve your financial objectives.

Timeframe for our advice

Our recommendations in this SoA are valid for 30 days from the preparation date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation before taking any action.

Check for accuracy

This SoA is based on the information you provided. Please read the document carefully, checking that your details are correct and that no important facts are missing. If anything is wrong or missing, please let us know immediately—otherwise our advice may be based on incorrect information and may not be right for you.

Limitations of our advice

We cannot give advice on:

- Trust or business structures
- Taxation
- General insurance
- Direct share or property purchases
- Legal matters

Please don't consider any of this document's recommendations to be advice in any of these areas. If you need advice in these areas, please see a qualified professional in that field.

Assumptions we've made

When giving advice, we make certain assumptions to demonstrate how the advice could affect your financial situation. We've based our advice on economic information and legislation that was current when we prepared your SoA.

All dollar amounts in this SoA are in today's dollars, even when we mention future income, expenses, investment amounts and so on. Naturally we can't predict what future inflation rates will be, so we can only make assumptions based on past trends. Also, all amounts listed in this document are "p.a." (per annum) unless otherwise stated or implied.

Product selection

We are committed to giving you the best products for your situation. When preparing your advice, we considered and recommended only those products on Pareto Group's "Approved Product List". This list was compiled by a dedicated Investment Review Committee, which regularly reviews it. To see the complete product list, please ask us.

Introduction

You are entitled to receive a Statement of Advice (SoA) whenever we provide you with any personal financial advice. Personal financial advice is advice that takes into account any one or more of your objectives, financial situation and needs.

This SoA is a record of the personal financial advice provided to you and includes information on the basis on which this advice is given, information about remuneration including fees, any other benefits and any interests, relationships or associations which might influence the making of the advice.

If this advice includes a recommendation to you to acquire a particular financial product (other than securities) or an offer to issue or arrange the issue of a financial product to you, we will also provide you with a Product Disclosure Statement containing information about the particular product to help you make an informed decision about that product.

The Scope of Our Advice

In this statement of advice, the main focus is on:

- Analysis of Defined Benefit Fund
- Retirement Income Planning
- Superannuation Contributions Strategies
- Retirement Capital Projections

This advice is based on information we have obtained from you. You must ensure the information is accurate and complete. Otherwise, this advice may be based on inaccurate or incomplete information relating to your investment objectives, financial situation or needs. You must therefore assess whether the advice is appropriate, in the light of your own individual investment objectives, financial situation or needs.

You recognise in each of the areas of advice we provide, we only provide advice to the extent we are able to under the relevant legislation.

Our Investment Recommendations

In respect of the specific investments, we recommend as part of our advice you are entitled to a 14-day cooling off period for your initial investment. A cooling off period generally means a period of time after which you have provided your capital for investment, where you can change your mind and request for your capital to be returned to you.

Each fund manager or investment provider may implement the cooling off period in a slightly different manner. Therefore, we recommend you refer to the Product Disclosure Statement for each of the recommended investments in order to understand the operation of each provider's cooling off period.

Your Adviser

At any time should you have any questions or concerns, in the first instance please contact your adviser Andrew Lord on (03) 9596 5111.

Andrew Lord is authorised to represent Pareto Group Pty Ltd. Should you wish to discuss matters of concern about your adviser or the advice you have received please contact us on 03 9596 5111.

The Planning Process

Ellen, *Financial Planning* is a process to help you reach both your Personal and Financial Goals and Objectives. In order to achieve this, we jointly need to undertake a number of tasks, including:

- ✓ Confirm your personal goals and lifestyle objectives;
- ✓ Quantify the resources required to meet your goals and objectives;
- ✓ Identify any gaps in your current plans and your stated goals and objectives;
- ✓ Develop suitable strategies to address any differences that may exist bearing in mind your attitude to investing and your risk profile;
- ✓ Conduct a regular review of the strategies we put into effect to ensure they keep pace with your changing needs, legislative changes and the investment environment.

Executive Summary

In this plan our advice considers the following areas of your financial circumstances.

Your Goals and Objectives

After our discussions I have listed below what we agreed were your key goals and objectives. The points listed below form the basis of the plan I have prepared, and therefore you should read them carefully now to ensure that we have an accurate foundation on which to proceed. If there are any modifications required, please advise us prior to the commencement of your financial plan.

Your goals and objectives are to:

- Determine the most appropriate option regarding your PSS Defined Benefit balance.
- Assess contribution strategies to maximise your PSS Defined Benefit balance.
- Consider the most appropriate structure for your assets as you move towards retirement.
- Ensure you have sufficient cash flow in retirement.

Personal Information

During our discussions and from the information you have provided, your Personal Details can be summarised as follows:

Personal Details

Title	Ms
First Name	Ellen
Surname	Bortolot
Gender	F
Date of Birth	30/03/1970
Age Last Birthday	54

Employment Details

Employment Status	Full Time - Employee
Occupation	Public Servant – Assistant Director Executive
Employer	ATO

Estate Planning

	Ellen
Do you have a Current Will?	Yes
Do you have Current Powers of Attorney?	No
Do you have a Testamentary Trust?	No

Current Assets and Liabilities

The following is an Asset and Liabilities summary that estimates your current Net Worth position based on the information provided.

ASSETS

Lifestyle Assets	Value
Residential Home – Altona North	\$949,000
Cash	\$24,000
Total Lifestyle Assets	\$973,000

Superannuation Assets	
PSS Defined Benefit	\$678,788
PSSap Accumulation Fund	\$1,965
Total Superannuation Assets	\$680,753

Total ASSETS	\$1,653,753
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LIABILITIES

Altona North Property Loan	\$575,000
Total Liabilities	\$575,000

NET WORTH	\$1,078,753
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Notes: As the above information has been used in preparing our recommendations please advise us of any errors or omissions.

The 'Total' column indicates the value of assets and liabilities which are owned by you. This report does not show the value of any portion of the asset or liability that may be owned by a third party or associated entity.

Strategy Recommendation

Tax Rates

When assessing the most tax effective environment for your investment assets, we need to consider the tax that would be payable on any income that these investments will generate. The current tax rates are as follows:

Income Earned in your personal name

Tax rates 2024-25

<i>Taxable income</i>	<i>Tax on this income</i>
\$1 – \$18,200	Nil
\$18,201 – \$45,000	16c for each \$1 over \$18,200
\$45,001 – \$135,000	\$4,288 plus 30c for each \$1 over \$45,000
\$135,001 – \$190,000	\$31,288 plus 37c for each \$1 over \$135,000
\$190,001 and over	\$51,638 plus 45c for each \$1 over \$190,000

* The above rates **do not** include the Medicare levy of 2.0%.

Income Earned in the superannuation environment

Superannuation in 'accumulation' phase	-	Tax rate = 15%
Superannuation in 'pre-retirement pension' phase	-	Tax rate = 15%
Superannuation in 'allocated pension' phase	-	Tax rate = 0%

Tax on superannuation earnings, contributions and income streams

	Non-superannuation	Super accumulation and pre-retirement pension phase	Super allocated pension phase
			After age 60
Salary/pension income	Marginal tax rate (max 45% + medicare)	n/a	Tax free
Super contributions (SGC, salary sacrifice)	n/a	15%	n/a
Investment income	Marginal tax rate (max 45% + medicare)	Maximum 15%	Tax free*
Capital gains	Marginal tax rate (50% discount if held for more than 12 months)	10% (15% if asset held less than 12 months)	Tax free*

Superannuation Contribution Limits

Table 1- Concessional contribution limits

Concessional contributions include employer and self-employed contributions such as salary sacrifice, superannuation guarantee and personal concessional contributions.

Date	Limit (per annum)				
	To Age 49	Age 50-59	Age 60-67	Age 68-74*	Age 75 and over
From 1 July 2017	\$25,000	\$25,000	\$25,000	\$25,000	SGC only
From 1 July 2021	\$27,500	\$27,500	\$27,500	\$27,500	SGC only
From 1 July 2022	\$27,500	\$27,500**			SGC only
From 1 July 2024	\$30,000	\$30,000**			SGC only

*Must be employed at least 40 hours during any consecutive 30-day period in the financial year you would like to make the contributions.

** From 1/07/2022, work test requirements were removed for all contributions, except personal tax-deductible contributions.

Table 2 - Non-concessional contribution limits

Date	Limit on after-tax contributions	Eligibility Requirements		
		Under age 67	Age 67 to 74	Age 75 and over
From 1 July 2017	\$100,000 p.a.	May bring forward two years of contributions to make a \$300,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2021	\$110,000 p.a.	May bring forward two years of contributions to make a \$330,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2022	\$110,000 p.a.	May bring forward two years of contributions to make a \$330,000 contribution in one financial year		Cannot contribute
From 1 July 2024	\$120,000 p.a.	May bring forward two years of contributions to make a \$360,000 contribution in one financial year		Cannot contribute

Income and Expenses

The following is a summary of your Income and Expenses that estimates your overall Cash Flow position based on the information provided.

Current Estimated Tax Liability for Ellen

Income Source	Amount Received	Deduction	Taxable Income	Tax
Gross Income	\$132,910			
Deductions				
Salary Sacrifice Contributions		\$2,210		
TAXABLE INCOME			\$130,700	
Tax Payable before Rebates/Credits				\$29,998
LESS Rebates & Credits				
Rebates				(\$0)
Total Rebates & Credits				(\$0)
TAX PAYABLE after REBATES & CREDITS				\$29,998
Medicare Levy				\$2,614
NET TAX				\$32,612

Current Estimated Cash Flow

	Total
Income	
Income Received	\$130,700
Sub Total	\$130,700
Less Income Tax	\$32,612
Less Post-Tax Contributions	\$7,975
Less Estimated Living Costs*	\$82,000
Net Income	\$8,113

*This is based off annualised amounts from the Budget Excel document you provided to us.

Your PSS Superannuation Fund

As at 30 June 2024, you have the following components of your PSS Superannuation fund:

PSS Defined Benefit Fund

Defined Benefit Accrual	\$596,424.00
Transfer Component	\$73,889.78
TOTAL BENEFIT	\$670,313.78

PLUS

PSS Accumulation Plan

Immediate Lump Sum	\$1,965.20
Preserved Lump Sum	\$0.00
TOTAL BENEFIT	\$1,965.20

Your Defined Benefit Accrual is calculated using the following formula:

Accrued Benefit Multiple x Final Average Salary (FAS) over your last two years of service

You have reached a benefit multiple of 4.72566, therefore as at 30 June 2024, your Defined Benefit Accrual is calculated as follows:

$$4.72566 \times \$126,209.67 = \$596,424$$

Your current salary increased to \$132,910 and is set to increase again by 3.8% to \$137,960 on 1 March 2025. Your salary is then due to increase by 3.4% to \$142,651 on 1 March 2026. Therefore, should you stay in the Defined benefit fund until 1 March 2027, it is anticipated that your lump sum benefit would increase to at least **\$663,038** (i.e. $4.72566 \times \$140,306$) where \$140,306 is equal to the Final Average Salary over your last two years of service.

This represents an increase in benefit payable of **\$66,614** over the next 27 months.

Maximising Your Accrued Benefit Multiple

The above increase in your benefit does not take into account any potential increases to your Accrued Benefit Multiple (ABM) over this same period. The ABM increases each year at a rate of 0.11 plus 2 times your contribution rate (i.e. if your contribution rate is 5%, the ABM increases each year by 0.21 $[0.11 + 2 \times (0.05)]$).

Please see below table which outlines the Annual ABM Accrual for the relevant contribution rate:

Contribution Rate	Annual ABM (first 260 CDDs)	Annual ABM (Ten year rule satisfied)*
0%	0.11	0.11
2%	0.15	0.15
3%	0.17	0.17
4%	0.19	0.19
5%	0.21	0.21
6%	0.22	0.23
7%	0.23	0.25
8%	0.24	0.27
9%	0.25	0.29
10%	0.26	0.31

Table 1 – Annual ABM Accrual (Source: Commonwealth Superannuation Corporation)

**The ten year rule refers to members who have contributed to PSS for 260 public service pay days or contribution due days (CDDs) – the equivalent of ten years' continuous employment. After the first 260 CDDs, if your contribution rate is more than 5%, your ABM accrues at a higher rate.*

Ellen, you have currently chosen to contribute at a rate of 6%. Based on the above table, an increase in contribution rate from 6% to 10% will lead to an increase in Annual ABM Accrual from 0.23 to 0.31 (assuming you have satisfied the Ten-year rule).

Ellen, if you work for another 5 years at a contribution rate of 6%, after 5 years your ABM will be approximately 5.87566. Assuming a Final Average Salary (FAS) of \$142,651, your estimated Defined Benefit Accrual can be calculated as follows:

$$5.87566 \times \$142,651 = \$838,169$$

If you work for another 5 years at a contribution rate of 10%, after 5 years your ABM will be approximately 6.27566. Assuming a FAS of \$142,651, your estimated Defined Benefit Accrual can be calculated as follows:

$$6.27566 \times \$142,651 = \$895,229$$

This represents an increase in benefit payable of **\$57,060** over the next 5 years.

Potential Impact of Increasing Contribution Rate

Ellen, there may be some potential implications to your cash flow if you increase your contribution rate from 6% to 10%. These contributions are paid by your employer from your post-tax income.

At a contribution rate of 6% with a salary of \$132,910, your contributions into Super equate to approximately \$306.73 p.f. (\$7,975 p.a.). If you were to increase the contribution rate to 10% on

the same salary, your contributions into Super would equate to approximately \$511 p.f. (\$13,290 p.a.).

This indicates that your annual post-tax income would decrease by **\$5,315** per annum in this scenario. If you were to do this for the next 5 years, your post-tax earnings would decrease by a total of \$26,575, which is significantly less than the estimated increase in your benefit payable from increasing your contribution rate from 6% to 10% (\$57,060).

Changing your contribution rate

You can change your contribution rate as often as you like by notifying your employer, as it is your employer's responsibility to withhold these contributions and pay them to PSS. Any changes will apply from the next applicable CDD.

Salary Sacrifice into PSSAP

Ellen, you are currently salary sacrificing \$85 per fortnight (\$2,210 p.a.) into your PSSAP fund. This amount is being salary sacrificed to pay for the premium for your Income Protection policy, which you are currently on claim for and are being paid a monthly benefit.

While our advice in this document will ultimately be to keep this cover, one potential option available to you to boost your ABM is to redirect this Salary Sacrifice into your Defined Benefit fund.

Pension Conversion Factor

Ellen, the ABM and Final Salary are the two most important factors to calculating your Accrued Defined Benefit. While these are the only variables to calculate the Accrued Defined Benefit, there is another factor that influences the way your lifetime pension is calculated called the 'Pension Conversion Factor'.

If you decide to take the lifetime pension, your initial annual pension will be determined by dividing your Accrued Defined Benefit by the Pension Conversion Factor. For each year you preserve your final benefit and don't take the lifetime pension, this Pension Conversion Factor will decrease by 0.2.

Please see below table from the CSC website which details the Pension Conversion Factor associated with each age group:

Age	Pension Conversion Factor
55	12
56	11.8
57	11.6

58	11.4
59	11.2
60	11
61	10.8
62	10.6
63	10.4
64	10.2
65	10

Table 2 – Pension Conversion Factor (Source: *Commonwealth Superannuation Corporation*)

Based on the above table, the annual amount you receive from your lifetime pension will increase the longer you delay taking this option. Please note, once you reach age 65 you have 3 months to take the lifetime pension before this option becomes unavailable and you may only take the Defined Benefit as a lump-sum from then on.

Potential Risks of Taking the Lifetime Pension

Taking the lifetime pension is the best option unless death occurs soon after retirement. There are some risks and downsides to taking this option, namely:

- If you take the Lifetime Pension and die without a spouse, partner or dependent children then this Lifetime Pension will cease and no amount will be payable to your Estate.
 - For example, if you retired in March 2025 and took the Lifetime Pension and then passed away later that year, you would lose the Accrued Benefit of \$596,424 and your Lifetime Pension would cease.
- This differs from if you took the Benefit as a lump-sum, which you could invest and draw down your required income, as you would still have the existing capital to leave to your Estate.

It is worth noting that you also can take the full Defined Benefit as a lump-sum, roll over the full Defined Benefit to an eligible fund, or preserve the entire benefit to be taken as a pension later.

Given the upside of taking the Defined Benefit as a lifetime pension, which will pay you indefinitely until death and will continue to pay a portion to your partner upon death, while also being increased annually in line with CPI, we would recommend taking the Defined Benefit as a lifetime pension (regardless of your retirement age) over the other options.

Your Options

As you are turning 55 in March 2025, you have the following options available to you:

1. Retire and take a Lifetime pension;
2. Keep working and retire at age 60, taking a lifetime pension while:
 - a. Continuing to contribute at a 6% rate;
 - b. Increasing contribution rate to 10%; and
3. Keep working and retire at age 65, taking a lifetime pension while:
 - c. Continuing to contribute at a 6% rate;
 - d. Increasing contribution rate to 10%.

Option 1

Should you retire in March 2025, it is estimated that your FAS will be \$128,493. Therefore, your Accrued Defined Benefit will be equal to \$607,214.

Using a pension conversion factor of 12, this means you will be paid an annual lifetime pension of \$50,601 (increasing in line with CPI) from age 55 until death.

Option 2 (a)

Should you continue working for another 5 years with a contribution rate of 6% (using a FAS of \$142,651), it is estimated that your Accrued Defined Benefit will increase to \$838,169.

Using a pension conversion factor of 11, this means you will be paid an annual lifetime pension of \$76,197 (increasing in line with CPI) from age 60 until death.

Option 2 (b)

Should you continue working for another 5 years with a contribution rate of 10% (using a FAS of \$142,651), it is estimated that your Accrued Defined Benefit will increase to \$895,229.

Using a pension conversion factor of 11, this means you will be paid an annual lifetime pension of \$81,384 (increasing in line with CPI) from age 60 until death.

Option 3 (a)

Should you continue working for another 10 years with a contribution rate of 6% (using a FAS of \$151,338, accounting for two additional 3% increases in salary), it is estimated that your Accrued Defined Benefit will increase to \$1,063,249.

Using a pension conversion factor of 10, this means you will be paid an annual lifetime pension of \$106,325 (increasing in line with CPI) from age 65 until death.

Option 3 (b)

Should you continue working for another 10 years with a contribution rate of 10% (using a FAS of \$151,338, accounting for two additional 3% increases in salary), it is estimated that your Accrued Defined Benefit will increase to \$1,184,320.

Using a pension conversion factor of 10, this means you will be paid an annual lifetime pension of \$118,432 (increasing in line with CPI) from age 65 until death.

Considerations:

We will explore how each of these options looks in the retirement capital projections, but first let's look at the investment return for each option compared to option 1:

- Under Option 2 (a), the 5-Year return equates to 6.66% p.a.
- Under Option 2 (b), the 5-Year return equates to 8.07% p.a.
- Under Option 3 (a), the 10-Year return equates to 5.76% p.a.
- Under Option 3 (b), the 10-Year return equates to 6.91% p.a.

We can also measure the impact of increasing the contribution rate to 10% by comparing both (a) and (b) options after 5 years and 10 years:

- Under Option 2, this will increase the lifetime pension by \$5,187 p.a.
- Under Option 3, this will increase the lifetime pension by \$12,107 p.a.

Other Important Considerations

Additional Death and Invalidity Cover

Ellen, you also have additional death and invalidity cover that provides you with an Additional Benefit Multiple of 2.2.

With respect to the Invalidity benefit (often referred to as 'Total and Permanent Disablement'), If CSC agrees to your retirement because you suffer a permanent medical condition which is likely to stop you from working again and the insurer accepts CSCs claim for payment of the insurance, an annual indexed pension of \$25,242 is payable in addition to your standard invalidity retirement benefit.

With respect to the Death benefit, in the event of your death before retirement, an annual pension of \$16,912 or lump sum of \$277,661 is payable to your eligible spouse in addition to the standard spouse's benefit. If you have no eligible spouse and/or children, the lump sum amount of \$277,661.00 is payable to your estate or to any non-eligible children.

PSSAP Income Protection

Ellen, you have Income Protection cover within your PSSAP fund which is currently paying you approximately \$8,720.96 per month. The insurance premium for this policy was approximately \$2,512 for the 2023/24 Financial Year (FY).

Our recommendation is to keep this cover.

Post-1995 Transfer Component

Ellen, on top of the Accrued Defined Benefit you also have a Post-1995 Transfer Component valued at approximately \$73,890. This amount will be payable to you as a lump-sum as soon as you retire.

These funds could be used to assist with your living costs, for instance by reducing the debt against your residential property.

Spouse Benefit

Ellen, should you have a spouse (including de-facto), they will be eligible to receive up to 67% of your lifetime pension if you pass away once you have decided to take the lifetime pension.

Investment Structures & Associated Retirement Projections:

Assumptions:

- 15-year period projections (takes you to the age of 69).
- Lifetime Pension and living costs are both indexed to CPI at 3% p.a.
- Property grows in value by 5% p.a.
- Living costs commence at \$83k p.a.
- Required retirement income is estimated to reduce to a minimum of \$58 k p.a.
 - MoneySmart states that the most cited replacement ratio (for retirement income vs. pre-retirement) is 70% to 85%.
- Transfer Component of \$73,890 is invested in a Managed Fund once retired and returns 6% p.a.
 - Any deficit in funds required to meet living costs is made up from the Transfer Component and any surplus flows into the same bank account.
- Additional \$5,315 required to increase the ABM to 10% flows into the bank account as surplus for Scenarios 2A and 3A.
- Total Capital as at this point is as follows.

Total Super Capital:	\$680,753
Total Net Investment Capital (outside superannuation):	\$0
Net Retirement Capital:	\$680,753

Scenario 1:

- Retire in March 2025 and take a Lifetime pension;

Annual Pension:	\$78,835
Estimated Minimum Annual Living Costs:	\$90,362
Net Investment Capital:	-\$29,743

Scenario 2A:

- Keep working and retire at age 60, taking a lifetime pension while continuing to contribute at a 6% rate;

Annual Pension:	\$102,402
Estimated Minimum Annual Living Costs:	\$90,362
Net Investment Capital:	\$315,997

Scenario 2B:

- Keep working and retire at age 60, taking a lifetime pension while continuing to contribute at a 10% rate;

Annual Pension:	\$109,373
Estimated Minimum Annual Living Costs:	\$90,362
Net Investment Capital:	\$343,069

Scenario 3A:

- Keep working and retire at age 65, taking a lifetime pension while continuing to contribute at a 6% rate;

Annual Pension:	\$123,260
Estimated Minimum Annual Living Costs:	\$90,362
Net Investment Capital:	\$358,455

Scenario 3B:

- Keep working and retire at age 65, taking a lifetime pension while continuing to contribute at a 10% rate;

Annual Pension:	\$137,295
Estimated Minimum Annual Living Costs:	\$90,362
Net Investment Capital:	\$340,377

Aside from your Super/Investment capital, you will also retain your residential property, the estimated position of which after 15 years is as follows:

Residential property value:	\$1,972,903
Residential property debt:	\$575,000
Residential property equity:	\$1,397,903

A copy of the calculations used to derive the different outcomes detailed above is contained in the appendix at the rear of this Statement of Advice

What is paid to your adviser

Plan Fee

You have agreed to a Plan Fee of \$4,000 (inclusive of GST), which will be invoiced to you.

As part of the recent Asteron Insurance claim, you are entitled to a Financial Planning benefit of \$2,500 which covers a portion of the fee for this Statement of Advice.

I am an authorised representative of Pareto Group Pty Ltd (ABN 11 155 278 078), which holds an Australian Financial Services Licence (AFSL #418700)

Disclosure Statement

To help you understand the full benefits, details and risks of our recommended products, please read the Product Disclosure Statements that we will provide you.

Please let us know if you have any questions.

Cooling-off periods

After investing in a financial product, you have a “cooling-off” period in which to change your mind if you don’t think the product meets your needs. The cooling-off period usually starts when you’re told the product has been set up. The length of the period varies with each product.

Each Product Disclosure Statement explains your cooling-off rights.

If you wish to cancel a product, please tell us in writing so we can contact the product issuer within the time restrictions.

No guarantee

The investments we recommend for you must be appropriate for you. However, we don’t guarantee they’re the best available or that they’ll perform in a particular way. Product performance depends on the features and risks described in the Product Disclosure Statements given to you.

Please take the time to read the PDS and understand the products we have recommended. If you have any questions, please contact us.

Tax

There will be tax implications if you act on this advice. We recommend you ask a tax professional to assess the impact on your short and long-term financial positions.

Are My Product Recommendations Restricted?

Non-Superannuation Products

Yes, when making non-superannuation product recommendations I can only choose products from our Approved Product List (APL). This list is compiled by a dedicated Investment Committee, made up of Research Manager, Directors and Representatives who carefully analyse investment products, prior to including any product on the APL. The Committee utilises leading industry research houses to assist with their analysis.

The APL is regularly reviewed to ensure that all funds, managers and investment companies continue to meet our ongoing stringent requirements.

Superannuation Products

Yes, when making superannuation product recommendations I can only choose products from our Approved Product List (APL). However, if you have a superannuation product that is not on our APL, I am still able to make recommendations in relation to that fund providing I have conducted the necessary research and have a thorough knowledge of the fund.

What is My Responsibility to You?

I am responsible for providing you a 'clear, concise & an effective' method of communicating my recommendations to you. The recommendations are based on your goals and objectives, personal and financial situations, and other information collected from you. The recommendations are appropriate for your needs and current situation.

As the SoA is specifically prepared for you and based on your situation, I do not take any responsibility for any third-party persons acting on all or on a part of any advice or recommendations made in this SoA.

Do I Guarantee the Investments I have recommended?

No. By law, the investments I have recommended must be appropriate to you, however, I do not guarantee that the recommended investments are the best for you or that they will perform in a certain way.

Your Financial Plan

In preparing this plan we have taken into account your specific goals and objectives, and have designed an appropriate strategy that aims to accomplish these.

It is important to appreciate that we live in an ever-changing world. Accordingly, it is probable that, overtime, the basis of our calculations (inflation rates, investment rates etc) will change, as will your own requirements and expectations. It is therefore recommended you review your plan on a regular basis to ensure you are still on track to achieve investment objectives.

It is essential to have your investment portfolio reviewed to ensure that the investments are working to their maximum potential and any changes to the investment markets, taxation etc. are promptly and correctly responded to.

Next steps

How to get started

To implement our recommendations in this plan, please do the following:

- Make sure you read this Statement of Advice and Product Disclosure Statements
- Contact us if you have any questions
- Tell us immediately if any information is incorrect
- Complete the application forms in the Product Disclosure Statements
- Sign and date the Authority to Proceed
- Return the forms to us
- Retain a copy for your records

Finally

Please note, as with any investments, their future value may fluctuate, particular rates of return cannot be guaranteed and you may not get back what you originally invested. We have provided a brief summary of the managed investment products recommended; however, you will need to study the investment statements of the recommended products carefully before you decide to invest.

Appendix A – Retirement Capital Projections
